

clients should ask if there is any evidence that a quantamental approach—a process that involves the use of models to screen for promising stocks, but overlays a human element to make the final investment decision—actually adds value.

One might argue that the experts in the Leli and Filskov (1984) study, from earlier, were sub par and perhaps the study design was flawed. Or perhaps these results are only relevant to the field of brain research. Expert stock pickers, by contrast, have years of experience in the investment management business and access to superior fundamental research tools, and they can develop a more pronounced qualitative information edge. Stock pickers can't possibly be beaten by simple models, can they? As it turns out, we have a reasonable real-world laboratory that provides insight into this question.

Joel Greenblatt, famous for his bestselling books *You Can Be a Stock Market Genius* and *The Little Book that Beats the Market*, stumbled into a natural experiment. Joel's firm, Formula Investing, utilizes a simple algorithm that buys firms that rank high on an average of their cheapness and their quality ranking. The firm offers investors separately managed accounts (SMAs) and investors have a choice in how to invest:

1. Invest using only the model's output.
2. Receive the model's output, but use their own discretion to identify stocks held in the portfolio.

Joel collected data on all their SMAs from May 2009 through April 2011 and tabulated the results. He wanted to know if adding discretion to the investment process would improve results (see [Figure 2.4](#)).